

1. Product Overview & Objectives

The **Urban Furniture Accounting System** is a comprehensive financial and operational software solution built to automate business processes for a furniture manufacturing and sales organization. The system spans core master data setup, purchase and sales order handling, double-entry journal postings, budget tracking, and automated financial report generation.

Core Objective

Deliver an end-to-end, production-ready accounting application that enforces double-entry rules (Debit = Credit), maintains real-time ledger consistency, tracks project-level budgets using analytic accounts, and provides instant financial statements (Balance Sheet, P&L, Budget Variance).

2. System Actors & Authorization Matrix

The system defines four primary actors with strict operational boundaries:

Actor	Type	Description & Key Responsibilities
Admin	BUSINESS OWNER	Full governance. Creates, modifies, and archives master data, records transactions, configures Chart of Accounts, and views all reports.
Invoicing User	ACCOUNTANT	Operational management. Enters master data, logs Purchase/Sales orders, generates bills/invoices, registers payments, and generates standard financial reports.
Contact	CUSTOMER / VENDOR	Restricted portal view. Can log in exclusively to view their own invoices or bills, verify transaction status, and initiate payments.
System	AUTOMATED ENGINE	Backend execution engine. Automatically validates data integrity, computes tax math, writes balancing double-entry journal items, and aggregates reporting figures.

3. Master Data Specifications

Master data forms the baseline directory required to drive operational workflows:

3.1 Contact Master

- **Fields:** Name, Type (Customer, Vendor, Both), Email, Mobile, Address (City, State, Pincode), Profile Image.
- **Validation Rules:** Valid email format, required name and contact type.

3.2 Product Master

- **Fields:** Product Name, Type (Goods, Service, Combo), Sales Price, Cost (Purchase Price), Category.
- **Logic:** Cost is used for purchase accounting; Sales Price is used for invoicing.

3.3 Chart of Accounts (CoA) Master

- **Concept:** The fundamental categorisation structure for all transactions.
- **Fields:** Account Name, Type (Asset, Liability, Expense, Income, Capital).
- **Defaults:** Cash (Asset), Bank (Asset), Debtors (Asset), Creditors (Liability), Sale Income (Income), Purchases Expense (Expense).

3.4 Journal & Journal Entries Engine

- **Journals:** Sales Journal, Purchase Journal, Bank Journal, Cash Journal.
- **Journal Entries:** Parent transaction container recording Date, Reference, and linked Journal.
- **Journal Items:** Line items requiring specific Account, Debit amount, and Credit amount. Enforces Total Debits = Total Credits per transaction.

4. Transaction & Workflow Architecture

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[ Purchase Order ] → [ Vendor Bill ] → [ Payment (Bank/Cash) ] → [ General Ledger Posting ]  
[ Sales Order ] → [ Customer Invoice ] → [ Payment Received ] → [ General Ledger Posting ]
```

4.1 Purchase Flow

1. Create Purchase Order (PO) with Vendor, Product, Quantity, and Unit Price.
2. Convert PO into Vendor Bill upon receipt of goods (recording invoice and due dates).
3. Register Payment against the bill selecting Bank or Cash account.

4.2 Sales Flow

1. Create Sales Order (SO) selecting Customer, Product, Quantity, Unit Price, and Tax.
2. Generate Customer Invoice from SO.
3. Register Payment received via Cash or Bank against the open invoice.

5. Analytics & Budget Management

- **Analytic Accounts:** Categorical tags (Type: Income/Expense) used to group revenues and costs for specific departments or projects (e.g., Furniture Fair 2026).
- **Budget Definition:** Defines Budget Name, Period, Responsible Person, Planned Amount, and links to an Analytic Account.

6. Reporting Requirements

- **Balance Sheet:** Displays real-time totals for Assets, Liabilities, and Equity/Capital.
- **Profit & Loss (P&L) Statement:** Computes Net Profit = Total Sales Income – (Purchases + Operational Expenses).
- **Budget Report:** Highlights Planned vs. Actual spend per analytic account with variance calculation.

7. Proposed Technical Implementation Stack

- **Frontend:** React with Tailwind CSS, supporting English, Hindi, and Gujarati localization via `react-i18next`.

- **Backend:** Python / Flask RESTful API server handling validation, authentication (JWT/bcrypt), and double-entry transaction posting logic.
- **Database:** PostgreSQL managed via Prisma ORM for type-safe relational schema enforcement.

Urban Furniture Accounting System — Confidential Product Requirements Document